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US Economic Update: June 29, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	25-Jun-26	24-Jun-26	17-Jun-26	16-Jun-26	15-Jun-26	11-Jun-26
	2.5	3.1	3.0	2.8	3.0	3.1

PCE inflation rose to 4.1% in May

- The personal consumption expenditure (PCE) price index (the Fed's preferred price gauge) rose 0.4% in May, the same pace of growth as in April. Prices for energy goods and services rose 4% during the month, although this may ease in the coming months as oil and natural gas traffic resumes in the Strait of Hormuz amid a fragile ceasefire between the United States and Iran. Excluding energy goods and services, prices were up 0.3% in May, indicating that other components of the PCE price index are also edging up. For example, services prices excluding housing and energy went up 0.5% in May, the highest in four months.

  Compared to a year ago, PCE prices were up 4.1% in May (also called inflation), the highest since April 2023. Core PCE inflation, which excludes food and energy prices, rose to 3.4% in May. This was the highest level since October 2023. Elevated inflation will keep the Fed cautious amid fears that price pressures will percolate to non-energy parts of consumers' baskets.
- Real (or inflation-adjusted) consumer spending rose 0.3% in May, up from a flat reading in the previous month. Spending on durable goods increased 0.8% in May, while services spending rose 0.2% during the month. Separately, the third estimate of the national accounts data, revised Q1 2026 consumer spending growth down to 0.5%. That's much lower than the 1.6% growth reported in the first estimate and the downwardly revised 1.4% in the second estimate. Over the last year, consumer spending growth has been primarily driven by high-income households benefitting from positive wealth effect due to rising asset prices. Low- and medium-income households, however, have been weighed down by rising inflation and relatively high borrowing costs.
- Real disposable personal income rose 0.3% in May, the first increase after three consecutive monthly declines. The increase in personal income, however, primarily reflects gains in farm proprietors' income and compensation. The personal savings rate remained unchanged from the previous month at 3%.
- The University of Michigan's consumer sentiment index rose to 49.5 in June from a record low of 44.8 in May, supported by easing gasoline prices and reduced concerns over the Iran conflict. However, concerns about the high cost of living persist, with one year ahead inflation expectations still elevated at 4.6%.

Figure 1. Headline PCE inflation rose to 4.1% in May, the highest level since April 2023

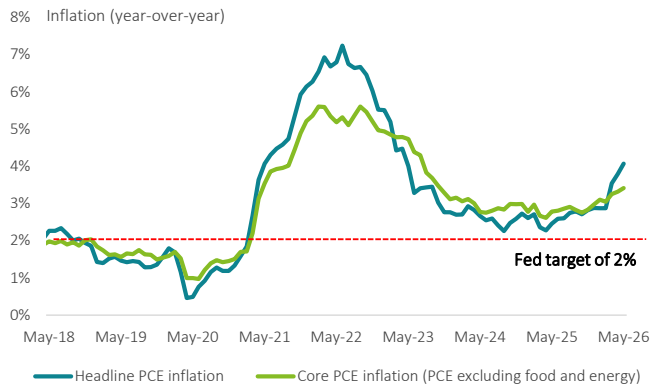
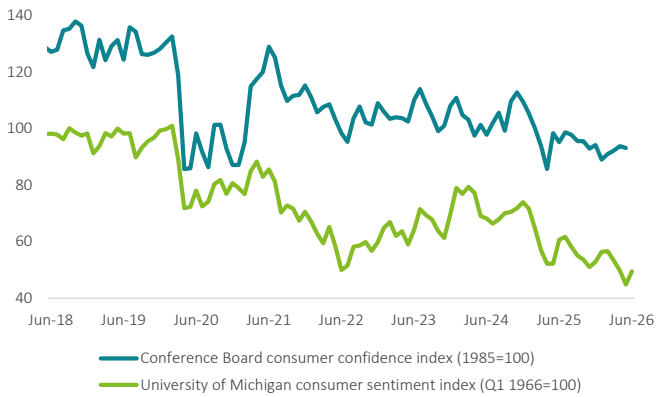


Figure 2. The University of Michigan's consumer sentiment index rose to 49.5 in June, but concerns persist about the high cost of living



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

May change	3-month avg ch	12-month avg ch	Trend
172,000	188,000	41,000	

Unemployment rate

May value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.3	0.0	-0.1	

Real disposable personal income

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	-0.4	0.0	

Real personal consumer expenditure

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.1	

Nominal retail sales

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.9	3.0	6.9	

Conference Board consumer confidence index

May value	1-month ch	3-month ch	Trend
93.1	-0.7	2.1	

Housing permits

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.9	-8.4	-0.4	

Manufacturing industrial production

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	1.0	1.4	

Shipments of core capital goods

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	2.1	7.6	

Trade balance

Apr value (US$ billion)	1-month ch	3-month ch	Trend
-55.9	0.7	-1.7	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
2.1	0.5	2.7	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jun 26	1-week ch (%)	1-year ch (%)	Trend
7354.0	-2.0	19.8	

Treasury yield spread (10 yr - 2 yr)

Spread on Jun 26	1-month ch(ppts)	3-month ch(ppts)	Trend
0.31	-0.18	-0.2	

CBOE volatility index (VIX)

VIX on Jun 26	1-week ch	4-week ch	Trend
18.4	2.0	2.7	

Kansas City Fed financial stress index (KCFSI)

May index	1-month ch	3-month ch	Trend
-0.9	-0.2	-0.3	

Inflation

Consumer price index (CPI)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	2.0	4.2	

Core CPI (CPI excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	2.9	

Core PCE (PCE price index excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.9	3.4	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.